
Document Name:	Car Lease Guidelines - Used Car & Switch to Lease
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Reviewed By:	Chief Human Resources Officer and Head AI
Approved By:	Managing Director & CEO
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Revision History

The Revision History Table below provides a record of all revisions made to this document throughout its life cycle. Updates are tracked by the date the revisions were made, the version number, a brief description of the changes made and reason, as well as the name of the reviser and the approver.

Effective Date	Version #	Change Description/ Reason	Prepared/ Revised by	Reviewed by	Approved by
1-Aug-25	1	New Document	Compensation & Benefit Team	Chief Human Resources Officer and Head AI	Managing Director & CEO
1-Jan-26	2	Grade Rationalization in the Annual Lease Entitlement	Compensation & Benefit Team	Head - Compensation and Benefits, HRSS, ER and Governance	Chief Human Resources Officer and Head AI
1-Apr-26	3	Revision in Car Perquisite Revision in Annual Entitlement	Compensation & Benefit Team	Head - Compensation and Benefits, HRSS, ER and Governance	Chief Human Resources Officer and Head AI

1. PURPOSE

- a) The Car Lease Policy (Policy) is aimed at enabling Employees to avail salary linked Vehicle on lease.
- b) The Policy has been formulated in order to introduce an Employee-friendly and easy to administer Car Lease Program and enhance overall Employee experience at PFL.
- c) The terms and conditions of this Policy will be governed by the respective Master Lease Agreement and Tripartite Agreement.

2. DEFINED TERMS

- a) **“Lessor”** means Bajaj Finance Limited (‘BFL’ or ‘Bajaj Finance’).
- b) **“Lessee”** means Poonawalla Fincorp Limited (‘PFL’ or ‘Company’).
- c) **“Co-Lessee/Employee”** means Employees of PFL.
- d) **“Tripartite Agreement”** means the document, by whatever name called, executed between PFL, Lessor and Co-Lessee via which Bajaj Finance is leasing Car/Vehicle(s) to the Employee.
- e) **“Lease Term”** means: means the period starting from the Lease Commencement Date, for which the Vehicle will be given on Lease to the Lessee and Co-Lessee.
- f) **“End of Lease Term”** means: **completion of** Lease Term as defined in the Tripartite Agreement.
- g) **“Pre-mature termination of Lease”** means: End of the Lease Term prior to completion of Lease Term.
- h) **“Pre-Termination Amount”** means: the amount as indicated in the Tripartite Agreement, to be paid by the Co – Lessee to Bajaj Finance due to Premature Termination of Lease in respect of a Vehicle.
- i) **“Supplier/Dealer”** means the Car dealer of the Vehicle as preferred by Bajaj Finance.
- j) **“Residual Value”** shall be the value as decided by the Employee at the beginning of the Lease Term, ranging from 1% to 20% of ex-showroom cost.
- k) **“Vehicle/Car”** the Vehicle, as selected by the Employee and specified in the VRO/Agreement to be provided on lease to the Employee.
- l) **Vehicle/Car Requisition Order (VRO)”** means the requisition form as per the draft provided by the Bajaj duly filled and signed by the Employee, requesting Bajaj to provide a type of Vehicle on Lease.
- m) **Switch to Lease (Self-Financed Vehicle)** means employee wants to switch their self-financed vehicle to a lease arrangement.
- n) **Switch to Lease (Vehicle financed through Loan)** means employee owns a vehicle that is financed through a loan and wants to convert it into a lease.
- o) **Used Car Purchase from a Third Party** means purchasing a used car from a third-party seller and converting it on Company car lease.
- p) **Transfer of Lease** means transferring the existing active lease.

3. SCOPE

All Employees in the grade of Associate Vice President (AVP) and above can avail the benefit under this Policy.

4. GUIDELINES

4.1 Vehicle eligibility and reimbursement:

- a) Employees can now choose from the following options under the enhanced leasing framework:
 - i. Switch to Lease (Self-Financed Vehicle/Vehicle Financed through Loan)
 - ii. Transfer of Lease
 - iii. Used Car Purchase from a Third Party
- b) At the time of enrolment in this policy, the Employee will be required to sign a Tripartite Agreement with PFL and BFL agreeing to all terms and conditions therein.
- c) The Co-Lessee/employee may cancel the order within 5 days of VRO being issued without any charges/costs. If Co-Lessee/employee fails to cancel the order within 5 days of VRO being issued, it shall be considered as deemed acceptance of the same and the Lessor shall issue a purchase order on completion of the 5th day.
- d) The Vehicle will be registered in the name of the Employee, hypothecated in favor of Bajaj Finance.
- e) Reimbursement claims for the driver's salary must mandatorily have month and amount of the salary mentioned clearly in the claim request.
- f) Employees must claim all the reimbursements before 15th of March each financial year. In absence of the same, unclaimed amount will be paid with March salary after applicable income tax deductions.

4.2 Employees can participate under the scheme subject to the following.

- a) The minimum lease term allowed will be 2 years and the maximum lease term will be 5 years.
- b) The maximum permissible age of the vehicle at the end of the lease term shall not exceed 7 years from the vehicle year of manufacturing.
- c) The requested lease tenure will be subject to evaluation by the Bajaj Finance team.
- d) The annual Lease Rental should not exceed the Lease Rental entitlement (as specified below in Table A).
- e) In cases where an employee opts for a **Petrol, Diesel, CNG, or Hybrid vehicle** and the annual lease rental exceeds the prescribed lease rental entitlement, the employee may choose to adjust the excess lease rental amount against the Driver's salary, provided the total adjustment remains within the overall entitlement limit as defined (as specified in Table A below).
- f) In cases where an employee opts for an **Electric Vehicle (EV)** and the annual lease rental exceeds the prescribed lease rental entitlement, the employee may choose to adjust the excess lease rental amount against the Driver's salary and/or Fuel Reimbursement, provided the total adjustment

remains within the overall entitlement limit as defined (as specified in Table A below). There is no separate reimbursement applicable for Fuel expenses.

- g) Employees shall submit soft copy of driver's license and updated copy in case of any change.
- h) The Lease Rental for an Employee is to be adjusted from special allowance component in the total Cost to Company ('CTC') for such Employee, starting from the commencement of Lease Term, keeping the total CTC unchanged.

Table A: Employee Grade wise limits (in Rs.)

Level/Grade	Annual Entitlement (in INR)			Total Entitlement Limit
	Lease Rental Entitlement	Driver's salary Reimbursement	Fuel & Maintenance Reimbursement	
Associate Vice President	400,000	150,000	150,000	700,000
Deputy Vice President	650,000	175,000	180,000	1,005,000
Vice President	900,000	200,000	240,000	1,340,000
Senior Vice President	1,500,000	250,000	300,000	2,050,000
Executive Vice President I and Executive Vice President II	2,500,000	300,000	360,000	3,160,000
President and Executive Director	3,600,000	420,000	480,000	4,500,000
Managing Director & CEO	4,800,000	480,000	540,000	5,820,000

4.3 The above-mentioned Total Entitlement Limit including but not limited to all costs incurred by Bajaj Finance for purchase of the Vehicle inter alia:

- a) Total Funding Value
- b) Taxes as applicable (GST and any other taxes as per taxation norms)
- c) Insurance
- d) Value Added Services
- e) Extended warranty, if any

4.4 All the reimbursement with respect to driver's salary, fuel & maintenance (collectively referred to as "Reimbursement") up to the limit as specified in Table A will be made by PFL on actuals and will be subject to submission of proper supporting documents, bills etc., or any other documentation as required by PFL.

**Maintenance only includes Car Servicing, tire change and car insurance (only for cases where employee has upfront paid the insurance amount) can be covered as part of maintenance, subject to submission of proper supporting documents.*

**Any alterations to the vehicle will not be considered as part of the maintenance*

4.5 The Special allowance component of CTC will be restructured after the completion of the Lease term and/or Premature Termination of Lease.

4.6 In case the delivery of the Vehicle is between 1st to 15th of the month, the Lease Rentals will commence from the 1st of the same month. Alternatively, if the date of delivery is between 16th to 31st of the month then the lease rentals will start from the 1st of the subsequent month.

4.7 Bajaj shall assist the Co-Lessee with the insurance topic through its Insurance Partners. Insurance has to be mandatorily done by Bajaj Finance.

4.8 The Vehicle will be registered in the Employee's name and hypothecated in Favor of Bajaj Finance.

5. PROCESS FLOW

Particulars	Switch to Lease (Self-Financed Vehicle)	Switch to Lease (Vehicle financed through Loan)	Used Car Purchase from a Third Party	Lease Transfer	Timelines
Enquiry	Email to the Centralized Procurement Support Unit at smartlease@bajajfinserv.in and Key Account Manager at leasesupport@bajajfinserv.in Contact number – 7391051156/7391051148				NA
Insurance	1. If existing insurance validity is less than 90 days, renewal will be required prior to lease activation. 2. BFL will assist the Employee/User with insurance renewal.				NA
Total Funding Value	1. Insured Declared Value (IDV) as per the latest insurance policy. 2. Market value of the vehicle, as determined through third-party valuation services. Funding value will be ascertained by BFL on the basis of above points 1 & 2. *Only in case of Lease Transfer Cases - Car will be purchased on the foreclosure value mentioned in tax invoice (Sale invoice) provided by the previous leasing partner, subject to previous employer/leasing company agrees.				Dependency on Co-Lessee required document submission
Rental Calculation	BFL will provide the lease calculator, or Employee can reach out to: 1.Email to the Centralized Procurement Support Unit at smartlease@bajajfinserv.in 2.Email to the Key Account Manager at leasesupport@bajajfinserv.in				NA
Tripartite Agreement & Vehicle Request Order (VRO)	Upon confirmation from Employee and the company SPOC - Digital links will be triggered				2 Business Days

Purchase Order (PO)	Will be released by BFL once all above steps are completed	2 Business Days
Change in Registration Certificate and Insurance Certificate	BFL will introduce Employee with the RTO agent or Employee can reach out to RTO directly and get the Hypothecation changed to Bajaj Finance Limited at their own expense All required documents and actions must be completed by the employee at their own expenses within 20 days from the date Bajaj provides the signed RTO form to the employee post vehicle purchase. For further details refer to Tripartite agreement.	Co-Lessee to complete the process within 20 Days

6. END OF LEASE TERM

- a) On the completion of the Lease Term the Employee can either surrender the Vehicle or purchase the Vehicle from Bajaj Finance at the Residual Value as specified in the VRO.
- b) The Employee shall on receipt of No Dues & NOC certificate, will at their own cost / expenses remove Bajaj as a financier on the Registration Certificate ('RC') of the Vehicle and submit a copy of the RC to PFL and Bajaj for its records.

7. PREMATURE TERMINATION OF LEASE

In the event of occurrence of any of the events specified hereunder, there shall be Premature Termination of Lease with effect from the date mentioned in the notice of Premature Termination of the Lease:

7.1. Occurrence of any one of the events of default specified in Tripartite Agreement

- a) The Employee fails to pay any of the Lease Rental or part thereof or other payments required hereunder when due and such failure continues for a period of 14 days after the written notice shall have been sent to the Lessee or the Employee.
- b) Employee fails to perform or observe any other covenant, conditions or agreement to be performed or observed by it hereunder, or any other writings between the Parties in connection herewith, and such failure or breach continues un-remedied for a period of 14 days after the written notice shall have been sent to the Employee.
- c) The Employee without Bajaj's consent, parts with possession through sale, transfers, or sublets or encumbers or creates any lien on the Vehicle.
- d) The Employee shall commit an act of bankruptcy or become insolvent or bankrupt or make an assignment for the benefit of creditors, or consent to the appointment of a Trustee or Receiver, or either shall be appointed for the PFL or the Employee or for a substantial part of its property or

bankruptcy, re-organization or insolvency proceedings shall be instituted by or against the PFL, or Employee voluntary, or otherwise.

- e) The Employee does any act or thing or omits to do any act or thing whereby or in consequence of which the Vehicle may be attached or taken in execution under any legal process or by public authority.
- f) The Employee makes any material additions/alterations to the Vehicle/s without the prior written permission of Bajaj which is likely to cause marketability of the Vehicle.
- g) The Employee becomes incapacitate to enter into contract.

7.2. Receipt of a written notice from the Employee (other than Cessation Notice) of 10 days for termination of the Lease, without cause.

7.3. Irreparable damage / total loss caused to the Vehicle or theft of the Vehicle

7.4. The Employee is absconding as notified by the PFL, with or without the Vehicle.

7.5. Receipt of Cessation of employment Notice by BFL from PFL before 45 days of the Employee separation.

7.6. Death of the Employee.

7.7. In the event of early termination of Lease Term, for any reason whatsoever, Employee shall be required to:

- a) In case he/she is joining another employer, transfer of the lease obligations to the new employer (subject to the acceptance of by new employer vendor & subject to their lease arrangement with the new employer).
- b) Transfer of Lease obligations to Employee: Employee shall be entitled to transfer the Lease to himself in an individual capacity.
- c) Pay Pre-mature Termination Amount (*Principal outstanding + Foreclosure charges (1% of the Premature termination amount + Applicable Taxes)*) to BFL as per the Agreement.

Note: *Foreclosure Charges: 1% of the Premature termination amount + Applicable Taxes

8. OTHER TERMS AND CONDITIONS

- a) The vehicle will be re-purchased by Bajaj and has to registered only in the city where the Employee is posted.
- b) PFL shall in no circumstances be liable for any acts or omission of the Employee.
- c) At any given point of time, Employee cannot avail more than one (1) Vehicle under this policy.

- d) Employees who opt for the policy will be liable to pay applicable tax as per the prevailing rates. Provision of the Vehicle by PFL under this policy shall be taxable as per perquisite as per the Income Tax Act, 1961 and the perquisite valuation rules shall apply which are as under.

Vehicle details	Perk amount per month (INR)		
	Vehicle	Driver	Total
Engine Capacity			
Up to 1.6 litres (incl. EV)	5,000	3,000	8,000
Above 1.6 litres	7,000	3,000	10,000

**The aforesaid tax rates are subject to change from time to time. Accordingly, the tax charge referred to above may vary during the lease term based on the applicable tax regulations.*

- e) PFL & Bajaj does not take any responsibility for breach of traffic rules or violation of any laws committed by the Employee or any other person using the Vehicle. The Employee shall file a complaint/FIR within 48 hours on happening of any accident or damage to the vehicle and/or handle all legal proceedings, wherever required for violation of such laws.
- f) Employees will use and keep the Vehicle in good working order and operating condition and shall maintain the Vehicle in accordance with its manufacturer's servicing and warranty schedules and recommendations.
- g) Employees will not put the Vehicle to any excessive or improper use, or use in improper situations, or do anything that might adversely affect its value, utility, marketability, or in any manner render the Vehicle unusable.
- h) During the Lease Term, Employee will not attempt to sell, offer for sale, dispose of, encumber in any manner, create charge, lien, sub-lease, rent out the Vehicle in any manner for any part of the Lease Term or part with physical or constructive possession of the Vehicle.
- i) Employees cannot do any modification in the configuration of the Vehicle post-delivery of the Vehicle during Lease Term without the prior consent of Bajaj Finance.

9. PROCESS FLOW FOR THEFT CASES

- a) In case the Vehicle is stolen, or the Vehicle is not traceable for a period of more than 7 days from the date of registration of the FIR with the Police then in that case.
- b) Employee to inform Bajaj Finance (BFL) account manager about the event with details such as – Claim form duly filled in with description of the incident plus all other documents as required by the concerned Insurance Company.

c) Documents Required under Theft Case: -

- FIR Copy – This should be provided by the Employee.
 - Vehicle Registration Documents - Registration Certificate & Insurance policy Copy.
 - Non-Traceable report from Police Station – Employee to get this from Police Station
 - RTO transfer set duly signed by POONAWALLA FINCORP LTD (PFL) Employee as transferor.
- d) Bajaj Finance (BFL) insurance team to provide assistance to user / company for completion of claim forms and insurance formalities as the Insurance is done & managed through Bajaj Finance.
- e) Bajaj Finance (BFL) insurance team to file all documents with the respective insurance company for settlement of claim.
- f) Employee to provide consent letter to insurance company for acceptance of claim settlement.
- g) The Co-Lessee/employee shall be exonerated from any further financial liability provided the Insurer does not reject the insurance claim. If Insurance claim is rejected by the Insurer due to negligence on the part of the Co-Lessee/employee, then the Co-Lessee/employee shall be liable to pay the Premature Termination Amount as specified in Tripartite Agreement

10. PROCESS FLOW FOR MAJOR ACCIDENT/TOTAL LOSS

- a) In case of Total Loss of a leased Vehicle, Employee to - file FIR/complaint within 48 hours.
- b) Employee to call 24 hrs breakdown assistance number of the manufacturer / dealer as specified in the owner's manual to get the Vehicle towed to the nearest Authorized Service Centre.
- c) Employee/PFL to inform Bajaj Finance (BFL) account manager about the event with details such as – Claim form duly filled in with description of the incident plus all other documents as required by the concerned Insurance Company
- d) Documents Required under Total Loss Case: -
- FIR Copy – This should be provided by the Employee.
 - Vehicle Registration Documents - Registration Certificate & Insurance policy copy.
 - Duplicate Keys of the car - Employee to provide the same to Bajaj Finance (BFL)
 - RTO transfer set duly signed by POONAWALLA FINCORP LTD (PFL) as transferor – POONAWALLA FINCORP LTD (PFL) Admin to provide the same.
- e) On receipt of all the above documents, Bajaj Finance (BFL) will file the claim with the Insurance Company.
- f) The Co-Lessee/employee shall be exonerated from any further financial liability provided the Insurer does not reject the insurance claim. If Insurance claim is rejected by the Insurer due to negligence on

the part of the Co-Lessee/employee, then the Co-Lessee/employee shall be liable to pay the Premature Termination Amount as specified in Tripartite Agreement

- g) Any legal liabilities/claims arising out of third-party claims shall be the responsibility of the Employee only.

11. VALUE ADDED SERVICES IN LEASE RENTAL

- a) Corporate Lease Limited Liability Cover
- b) Death & Disability shield for Leased Asset
- c) Car Insurance Disallowance Cover
- d) Car Theft and Total Loss Retention

12. EXCEPTION MANAGEMENT

Any exception to the policy should be recommended by Head - Compensation & Benefits for its approval to the Chief Human Resources Officer/Managing Director & CEO.

13. AMENDMENTS TO POLICY

Compensation and benefits team shall oversee the implementation of this Policy and review its functioning periodically. Changes, if any, in the policy shall be recommended by Head - Compensation & Benefits for its approval to the Chief Human Resources Officer/Managing Director & CEO.